

2040, \$10 may just get you one. (Though mind you, after a flavour shot and a milk substitute, my current iced lattes sometimes creep close to \$10 already.)

A millennial or Gen Z's favourite example of inflation is the cost of houses. We've all seen stories of how homes could be bought for as little as \$20 000 in our grandparents' era, and now many of us live in cities where houses are unaffordable for most average wage earners, often creeping up to the million-dollar mark. It's something that isn't country-specific and is important to factor in, no matter where you live.

Inflation isn't new. It can be traced back to the sixteenth century, when silver and gold coins were widely used as currency. An excess of these precious metals would lead to inflation. Governments don't like inflation; inflation was not our friend back then, and it's not our friend now.

In the twenty-first century, inflation usually sits around the 2 per cent mark annually. This means the money you have sitting in your bank account drops in value by roughly 2 per cent every year. **Every. Single. Year.** It never fails to amaze me how little we were taught about inflation, and yet the loss of money affects so many people daily.

If your boss gives you a 2 per cent pay rise, but inflation that year is 2 per cent, you don't end up with any more purchasing power than before. However if you *don't* get a pay rise and inflation is 2 per cent, your salary is now worth 2 per cent less — in simple terms, if you didn't get a pay rise to match or beat inflation, you got a pay cut!

I had a friend at work many moons ago who once came up to me and whispered that she'd had a pay rise.

'How much?' I asked.

'\$3000.'

'Zoe, that's less than inflation this year! You should consider going back and negotiating.'

She, unfortunately, didn't want to ruffle any feathers, so she left it. That year Zoe worked harder than ever yet made less than the year before.

So many of us grow up thinking like Zoe, my prior self included. We grow up being told about the importance of going to university, getting a good